

DAILY NEED TO KNOW

Thursday, 30 July 2026 · Pre-market brief for Anne Wong

Covering the Wednesday 29 July 2026 US session + overnight. All times GMT+8 (HKT).
Edition: **FULL** — Hedgeye logged-in edition (live risk ranges & Quads).

1

Market snapshot (Wed 29 Jul close)

Asset	Last	Change	Note
S&P 500	7,316.15	▼ -112.63 / -1.52%	CLOSED BELOW Hedgeye's 7,356 floor — the week's first range break
Nasdaq Composite	24,442.94	▼ -433.97 / -1.74%	SIXTH straight down session; now -10.1% from its record high
Dow Jones	51,594.14	▼ -1,153.18 / -2.19%	WORST DAY SINCE APRIL 2025. Round-tripped Tuesday's +537 and more
Russell 2000	2,906.31	▼ -47.49 / -1.61%	Broke the 2,923 floor; small caps finally joined
US 2Y yield	4.236%	▼ -4 bp	Front end RALLIED — the hike got priced out
US 10Y yield	4.657%	▲ +5 bp	Still inside 4.54-4.72%, but at the wrong end of it
US 30Y yield	5.21%	▲ +12 bp	HIGHEST IN 19 YEARS. The whole story is here
Gold (Aug)	\$4,097.00	▲ +1.44%	NOW \$4,147.80 (+1.24%) o/n — ABOVE the 4,135 ceiling
Silver (Sep)	\$58.09	▲ +0.97%	NOW \$58.60 o/n; ceiling raised \$59 → \$60. Still bearish TREND
WTI crude (Sep)	\$84.46	▲ +\$5.20 / +6.6%	Hedgeye UPGRADED oil to BULLISH and Keith bought XLE + CRAK
Brent crude	\$90.74	▲ +\$6.65 / +7.9%	BACK OVER \$90. Saudi joined US strikes; Oman plan rejected
Bitcoin	~\$63,831	► -0.02% o/n	ETH \$1,901 (-1.0%). Inert through a 1,153-point Dow day
US Dollar (DXY)	100.80	▼ -0.61%	Range LOWERED to 100.65-101.86 — spot sits 0.15 off the floor
VIX	20.66	▲ +2.45 / +13.45%	BROKE the 19.93 ceiling. Vol finally confirmed the tape
Copper (Sep)	\$6.31	▼ -0.79%	NOW \$6.38 (+1.16%) o/n; bullish TREND intact (6.14-6.52)

Colour key: ▲ up ▼ down ◆ neutral/mixed ► little changed. A rise in yields or VIX is not necessarily good. o/n = overnight electronic trade, ~07:02 GMT+8 Thu. Yield levels are post-close cash prints per CNBC; Yahoo's 15:00 EDT CBOE snapshots differ slightly (see Data-confidence).

TL;DR: The Fed held at 3.50-3.75% and **three** officials dissented in favour of a **HIKE** — the first three-way one-direction dissent since September 2016. Warsh got what he asked for: "I asked for a good family fight, and I got one." The bond market did not read it as dovish. The **30-year yield jumped 12bp to 5.21%, a 19-year high**, while the 2-year FELL 4bp to 4.236% — a violent bear steepener that says the market thinks the Fed is behind on inflation, not ahead of it. Equities broke: **Dow -1,153pts (-2.19%), its worst day since April 2025**, S&P -1.52%, Nasdaq -1.74% and now more than 10% off its record, a **SIXTH** straight decline. Meanwhile Iran fired ballistic missiles at the Muwaffaq Salti air base and a CENTCOM facility in **Jordan**; the US and **Saudi Arabia struck Iranian-backed PMF units in Iraq**, killing at least 20 — the first Gulf state to acknowledge attacking Iran's allies in this war; Iran hit three ships in Hormuz and **rejected Oman's transit mechanism**; Trump promised Iran would "get a beating." Brent +7.9% to \$90.74. After the close **Microsoft ripped +9%** on Azure +43% and a \$90.0bn top line — and simultaneously guided FY27 capex to **\$255-260bn**. **Meta fell** on a \$6.18 EPS against \$7.13-7.19 expected. Same session, same theme, opposite outcomes.

Today's actionable levels — what to watch

- ▼ **US 30Y yield: 5.21%** — a 19-year high and the single most important number on the page. Hedgeye publishes no 30Y range, but the 10Y band is 4.54-4.72% and spot 4.657% sits in the upper third. A bear steepener with the front end RALLYING is the market saying the terminal problem is inflation, not policy. Every equity multiple in the book keys off this line.
- ▼ **S&P 500: 7,316.15 vs 7,356-7,549 (bullish TREND)** — the index closed **40 points, 0.54%, BELOW the floor**. The signal is still Bullish because Hedgeye's ranges are computed pre-session; a second close below 7,356 is what would flip it. Futures +0.31% put the open right back at the line.
- ▼ **Nasdaq: 24,442.94 vs 24,602-25,667 (bearish)** — also broke, by 159 points. Six consecutive down days and a >10% drawdown from the high. MSFT +9% after hours is the only thing standing between this and a seventh.
- ▲ **VIX: 20.66 vs 16.07-19.93 (neutral)** — broke the CEILING, +13.45% on the day. Hedgeye had NARROWED the band on Wednesday morning (from 15.57-20.27); the market went straight through the top of the narrower band. This is the first session this week where index vol actually confirmed the equity damage.
- ▲ **WTI: \$84.46 vs a range UPGRADED to 76.97-92.98 BULLISH**. Read the sequence carefully: Tuesday Keith flipped oil to Bearish TRADE and TREND and said he was not long energy. Wednesday morning he reversed, published a Bullish range, and **bought XLE and CRAK**. Then crude settled +6.6%. Spot sits mid-range — \$8.5 of room either way.
- ◆ **US Dollar (DXY): 100.80 vs a LOWERED 100.65-101.86**. The dollar FELL 0.61% on a hawkish-dissent hold — because the hike got priced out at the front end. Spot is 0.15 above the floor. A break of 100.65 with the 30Y at 5.21% would be the genuinely disorderly combination.

▲ **HYG: 79.02–79.80, UPGRADED Bearish → NEUTRAL.** Second signal change in three sessions (Neutral Mon → Bearish Tue → Neutral Wed). Credit keeps flip-flopping while equity and rates deteriorate. Treat the upgrade as noise until it holds two days.

2 The big picture — what it means

- 1. The dissent is the message, not the hold.** The FOMC voted 9–3 to stay at 3.50–3.75%, with Hammack, Kashkari and Logan all voting for a 25bp HIKE. Three dissenters pointing the same direction has not happened since September 2016. Warsh's language left no room: "There is no soft inflation target, there is no soft implicit target — not on this Committee's watch. There is only a target, and it is 2 percent," and "the five-plus years of inflation above target cannot be cured in nine weeks." With no dot plot and no forward guidance, the dissent count IS the guidance. The market now knows the reaction function has a hawkish tail it cannot see priced.
- 2. The curve did something worse than sell off — it steepened the wrong way.** 2Y –4bp to 4.236%, 10Y +5bp to 4.657%, 30Y +12bp to **5.21%, the highest since 2007.** The front end rallying while the long end breaks to a 19-year high is the textbook expression of "this committee will not tighten enough, so we will demand more term premium instead." That is a far more hostile outcome for equity multiples than a straight hike would have been, and it explains why the **Dow — the low-multiple, long-duration-cash-flow index — was the worst performer at –2.19%,** not the Nasdaq.
- 3. Yesterday's leaders were yesterday's leaders.** Hedgeye's Chart of the Day was titled "July's Biggest Casualties Were 2026's Former Leaders," and Wednesday's tape proved it in real time: **Industrials –3.47%** — the worst sector on the day and the best sector YTD at +38.75% — with Caterpillar –6.91%. Technology –2.38%, Financials –1.75%, Utilities –1.62%. Only four of eleven sectors closed green, against nine of eleven on Tuesday. The rotation that had been protecting the index stopped protecting it. When the defensive leg and the cyclical leg sell together, it is not rotation, it is de-grossing.
- 4. And then Microsoft printed the quarter the bulls needed — and the number the bears needed, in the same release.** Revenue \$90.0bn (+18%) vs ~\$87.6bn expected, non-GAAP EPS \$4.74 vs \$4.24, net income \$35.8bn (+31%), and **Azure +43% against a 39–40% guide.** The stock added roughly \$93bn of market value after hours, +9%. In the same breath: **FY27 capex guided to \$255–260bn against ~\$190bn in FY26 — a ~35% step-up.** Meta went the other way, beating on revenue (\$60.8bn, +28%) and missing badly on profit (\$6.18 EPS vs \$7.13–7.19 consensus, net income –14% y/y) while RAISING the floor of its FY26 capex range to \$130–145bn. Demand is not the problem. The cost of serving it is.

3 Rates, currencies & commodities

- **Rates:** 30Y **5.21% (+12bp)**, 10Y 4.657% (+5bp), 5Y 4.352% (–0.9bp), 2Y 4.236% (–4bp), 13-week bill **3.658% (–10.2bp)**. The 2s30s curve steepened roughly 16bp in a single session. The bill move is the cleanest tell — a 10bp collapse in 13-week paper is the market taking the hike out of the near term entirely, while simultaneously demanding more compensation for holding duration. Credit: **HYG upgraded Bearish → NEUTRAL (79.02–79.80)**, LQD still bearish (105.7–107.5).
- **US Dollar:** DXY **100.80 (–0.61%)**, into a range Hedgeye LOWERED to 100.65–101.86. EUR/USD 1.1477 (+0.87% from Tuesday's 1.1378), GBP/USD 1.3374, AUD/USD 0.6965. Monday's failed breakout above 101.51 has now become a full round trip to the bottom of the band. A dollar falling while the long end sells off is the combination that usually signals the market is repricing US fiscal and inflation credibility rather than US growth.
- **Yen:** USD/JPY **163.35**, the yen firmer from 163.84, with the **BoJ decision and quarterly Outlook Report tomorrow (Friday)**. At 163 the BoJ meets with the currency roughly at the weak end of its tolerance and a Fed that just showed three hawkish dissents. That is a live meeting and it is the single most under-priced event on this week's calendar.
- **Oil — the regime changed and Hedgeye changed with it.** WTI settled **\$84.46 (+6.6%)** and Brent **\$90.74 (+7.9%)**, both back through the levels that broke on Tuesday. The Wednesday Early Look upgraded the WTI range to **76.97–92.98 BULLISH** and Keith explicitly reversed his Tuesday position, buying **XLE and CRAK**. His own framing: "I wasn't long Oil or Energy Stocks because I don't chase things like my former self would. Then I went out and bought Energy Stocks on sale." Energy was the best sector on the day at **+1.75%** — one of only four green.
- **Metals & the Quad 3 mix:** Gold settled \$4,097.00 (+1.44%) and is **\$4,147.80 overnight — through the \$4,135 ceiling** of a range Hedgeye had just raised to 3,976–4,135. Silver \$58.09 → \$58.60 with the band raised to \$55–60. Copper \$6.31 → \$6.38 (6.14–6.52 bullish). Nat gas \$2.722 → \$2.726, still bearish (2.56–2.95). Precious metals bid on a day the dollar fell and the long end broke is the coherent Quad 3 trade, and it is the first session this month where gold and oil rallied together.

4 Hedgeye Risk Ranges & regime

Regime: July monthly Quad 4 is ending; August is modelled Quad 3. Wednesday's Early Look — "Quad Candy vs. Crowded Carnage" (Keith McCullough, 07:55 EDT) — opens with Chase Hughes: "Our focus is hard-wired to rapidly respond to two main elements: threats and value." The argument is that July was both at once depending on which process you ran. **The threat**, in Keith's July numbers: TMT Memory –30.5%, the GS High Beta Momentum basket –30.9%, AI Data Centers –19.4%, and the GS TMT "Mo Pair" (consensus longs vs shorts) –11.8% **in Tuesday alone and –39% on the month.** **The value:** long GARP Software +8.4%, long US Healthcare +5.3%, long REITs (XLRE) +4.5%. The August Quad 3 call is driven explicitly by the breakout in oil and major commodities re-accelerating sequential inflation — which is why the oil upgrade and the XLE/CRAK purchase are the same decision as the Quad shift, not separate ones.

Instrument	Immediate-term risk range	TREND	Change vs Tuesday
S&P 500 (SPX)	7,356 – 7,549	Bullish	Lowered top; close BROKE the floor
Nasdaq Composite (COMPQ)	24,602 – 25,667	Bearish	Lowered; close BROKE the floor
Russell 2000 (RUT)	2,923 – 2,991	Bullish	Raised; close BROKE the floor

Instrument	Immediate-term risk range	TREND	Change vs Tuesday
US 10Y yield	4.54 – 4.72%	Bullish	Floor trimmed 4.55 → 4.54
US Dollar (DXY)	100.65 – 101.86	Bullish	LOWERED ; spot 0.15 off the floor
WTI crude	\$76.97 – \$92.98	Bullish	UPGRADED from Neutral — the big one
Nat gas	\$2.56 – \$2.95	Bearish	Both ends trimmed
Gold	\$3,976 – \$4,135	Bearish	RAISED ; o/n price is through the top
Silver	\$55 – \$60	Bearish	Raised from 54–59
Copper	\$6.14 – \$6.52	Bullish	Narrowed
VIX	16.07 – 19.93	Neutral	NARROWED ; close BROKE the ceiling
HY credit (HYG)	79.02 – 79.80	Neutral	UPGRADED from Bearish
IG credit (LQD)	105.7 – 107.5	Bearish	Unchanged
Tech (XLK)	\$169 – \$179	Bearish	Ceiling cut again, 181 → 179
Health Care (XLV)	\$161 – \$168	Bullish	RAISED from 158–165
Utilities (XLU)	\$45.00 – \$46.62	Bullish	Ceiling trimmed
Real Estate (XLRE)	\$44.99 – \$46.88	Bullish	RAISED from 44.81–46.14

Ranges are from Wednesday's Early Look, published 07:55 EDT Wed off Tuesday's close — i.e. they framed the session just traded. FOUR were broken intraday: SPX, COMPQ and RUT through their floors, VIX through its ceiling. Gold's overnight print is also through the top. Signal changes vs Tuesday: WTI Neutral → BULLISH (range 75.09–92.09 → 76.97–92.98) and Keith bought XLE + CRAK; HYG Bearish → NEUTRAL (79.01–79.68 → 79.02–79.80); XLV raised 158–165 → 161–168; XLRE raised 44.81–46.14 → 44.99–46.88; silver raised 54–59 → 55–60; gold raised 3,952–4,121 → 3,976–4,135; XLK ceiling cut 181 → 179; VIX band narrowed 15.57–20.27 → 16.07–19.93. Wednesday's Early Look did not publish USD/JPY, Brent, Nikkei, Shanghai or DAX ranges.

Also on the desk. MOMO Tracker: "Mag7 (+0.5%), Rotation & Dispersion, KOSPI = –6% (again!), **Unwind In Full Swing.**" Crypto Quant: "BTC (+0.9%), CLARITY progress (?), **post-quantum vulnerability**, spot volume ↓, L2 TVL ↓ ↓." And in Wednesday's Macro Show, ahead of the decision, Keith made the call that reads best in hindsight: watch the **MOVE index**, not the presser — "the Fed front-runner suggests Warsh turns hawkish over the next two to three months once inflation reaccelerates," with oil up 6% spiking the August nowcast. His analogue: **the Bank of Korea raised rates INTO the crash**, and Powell was too hawkish into the Q4 2018 Quad 4 slowdown — "the market crashed within three months." His advice to anyone bag-holding SanDisk, KLAC or AMAT: "wait until the Fed even talks about hiking." SanDisk closed –11.0% and Lam –6.4%.

5 Mag7 scoreboard (Wed 29 Jul)

Name	Last	Day	Cap	Read
Microsoft (MSFT)	\$390.54	▼ –0.71%	\$2.90T	+9% AFTER HOURS (~+\$93bn). Rev \$90.0bn (+18%), EPS \$4.74 vs \$4.24, Azure +43%. FY27 capex \$255–260bn
Meta (META)	\$585.61	▼ –1.31%	\$1.49T	FELL after hours. Rev \$60.8bn (+28%) beat; EPS \$6.18 vs \$7.13–7.19 MISS; net income –14% y/y
Apple (AAPL)	\$338.19	▼ –0.56%	\$4.97T	Lost the \$5trn handle two days after touching it. Reports tonight/Friday; +3.8% on the week regardless
Nvidia (NVDA)	\$190.01	▼ –3.55%	\$4.60T	Worst Mag7 day; –10.4% on the week. Bearish TREND. Senators warned Apple off Chinese memory
Alphabet (GOOGL)	\$336.71	▲ +0.90%	\$4.12T	The ONLY Mag7 gainer, second day running. Still the designated safe harbour for money leaving semis
Amazon (AMZN)	\$226.65	▼ –1.82%	\$2.44T	Reports alongside Apple. AWS margin is the line. Bearish TREND
Tesla (TSLA)	\$298.32	▼ –2.97%	\$1.18T	Broke \$300. –20.2% on the week, –34.4% YTD. Deutsche Bank kept Buy, cut target

Prices are Wed 29 Jul official cash closes (16:00 EDT) from a single consistent snapshot; market caps as reported by the same source. Six of seven fell. After-hours moves are indicative and were still moving at the time of writing.

6 Positioning & options

- **Vol finally confirmed.** VIX +13.45% to 20.66, breaking the top of a band Hedgeye had just narrowed to 16.07–19.93 that same morning. For four sessions index vol refused to pay for idiosyncratic chip damage; on a day the damage went index-wide — Dow –2.19%, only four sectors green — it repriced in one move. That is the dispersion regime ending, not deepening.
- **The pain trade rotated INTO the safe haven.** Industrials, the +38.75% YTD leader, was the worst sector at –3.47%. Utilities, the classic duration-proxy defensive, fell –1.62% — because a 12bp move in the 30Y hits a bond proxy harder than it hits a growth stock. Anyone who spent July rotating out of momentum and into quality-yield got hit on Wednesday by the exact same factor that was protecting them. Hedgeye's own book (XLV, XLRE, IAK, NOBL, CLOZ, VYM, FXH, FAB) is built on that leg and the XLV/XLRE ranges were RAISED into it, so the process still likes it — but this was the first day it cost money.

- **Momentum's month, in three numbers.** GS High Beta Momentum -30.9% in July, TMT Memory -30.5%, AI Data Centers -19.4%. Keith's separate Market Insights piece on Tuesday put the momentum basket at -37% — the discrepancy is measurement date and basket definition, but the order of magnitude is the point: this is the worst monthly factor unwind in the series' history and **month-end is tomorrow**. Rebalancing into a -30% factor move is not a footnote.
- **Crypto stayed asleep through all of it.** BTC ~\$63,831 (-0.02%) and ETH \$1,901 (-1.0%) — flat through a three-dissent Fed, a 19-year high in the 30Y, a 1,153-point Dow day and a Gulf state entering the war. Whatever bitcoin is currently trading on, it is not macro. Hedgeye's Crypto Quant adds a genuinely new risk to the list: **post-quantum vulnerability**, alongside falling spot volume and sharply falling L2 TVL.
- **The dispersion in single names was extreme.** Huron +40.4%, Manhattan Associates +21.3%, Lithia +19.3%, Robert Half +12.6%, Shopify +11.5%, Wayfair +12.3% — against Parsons -35.0%, Teladoc -24.1%, Lemonade -23.7%, Lennox -21.0%, FTAI -19.4%. On a -1.52% index day. Earnings season is doing more to portfolios right now than the index is.

7 Sector rotation — leaders & laggards (Wed)

- ▲ **Leaders (only four green):** Energy +1.75%, Consumer Defensive +0.27%, Basic Materials +0.09%, Communication Services +0.08%. Single names: Huron +40.4%, Manhattan Associates +21.3%, Lithia Motors +19.3%, ExlService +17.9%, CBIZ +17.6%, Robert Half +12.6%, Wayfair +12.3%, Shopify +11.5%, GE HealthCare ~+11.6%, Garmin ~+16% (raised guidance), Cognizant +7.7%, Cenovus +5.1%, Expand Energy +4.5%, Chipotle +2.2%, Ford +2.1%.
- ▼ **Laggards:** Industrials -3.47% (worst), Technology -2.38%, Financial Services -1.75%, Utilities -1.62%, Consumer Cyclical -1.20%, Healthcare -0.74%, Real Estate -0.22%. Single names: Parsons -35.0%, Teladoc -24.1%, Lemonade -23.7%, Lennox -21.0%, FTAI -19.4%, Fervo -19.1%, Bio-Rad -15.7%, CoStar -14.7%, Vertiv -12.6%, SanDisk -11.0%, Micron -9.9%, Silicon Motion -9.8%, Ichor -9.5%, SoFi -8.9%, Nebius -8.6%, Arm -8.1%, Caterpillar -6.9%, Lam Research -6.4%, KLA -6.4%, Intel -5.1%, Coinbase -4.7%, Qualcomm -4.4%.
- ◆ **Rotation read:** Tuesday, nine of eleven sectors rose while the Nasdaq fell — the index masked a rotation. Wednesday, **seven of eleven fell and the leadership itself broke**. Year-to-date the table still reads Industrials +38.75%, Energy +28.85%, Real Estate +14.51%, Technology +12.18%, Healthcare +11.17% against Communication Services -1.71% and Consumer Cyclical -4.97% — but the two biggest YTD winners were the day's worst and best sectors respectively, which is precisely Hedgeye's "July's Biggest Casualties Were 2026's Former Leaders" point arriving in the same session as the Fed.

8 Forward — futures & the week ahead

- **Futures (07:02 GMT+8):** S&P +0.31% (7,374.00), Nasdaq-100 +0.46% (27,467.75), Dow +0.29% (51,916), Russell -0.02% (2,914.70). A modest bounce carried entirely by Microsoft. Overnight: WTI \$84.43, Brent \$90.40, gold \$4,147.80 (+1.24%), silver \$58.60, copper \$6.38, DXY ~100.8, BTC ~\$63.8k, ETH ~\$1,901.

Day	Key events (GMT+8)
Thu 30 (today)	★ 20:30 Core PCE (Jun) + Q2 GDP advance + weekly jobless claims — the first inflation print after a three-dissent hold, and it pre-dates July's oil spike entirely. AAPL + AMZN after the US close (~04:05-04:30 GMT+8 Fri). Also reporting: Lloyds, ASE Technology. Asia opens into a -1,153 Dow and a +9% Microsoft.
Fri 31	★ BoJ decision + quarterly Outlook Report (~11:00-12:00) — live, with USD/JPY at 163.35 and a Fed that just showed three hawkish dissents. Month-end after a -30.9% month in high-beta momentum: rebalancing flows are a real variable, not a footnote. Exxon + Chevron pre-open into \$90 Brent.
Watch	Any further US/Saudi-Iran exchange re-prices crude instantly; Iran has now rejected the Oman mechanism, so the de-escalation path that existed 24 hours ago is gone. Hormuz tanker transit counts remain the only honest supply indicator. China's July Politburo readout still pending. And the 30Y at 5.21% — if that keeps going, nothing else on this list matters.

9 Corporate news

- **Microsoft FQ4: the beat the market needed, with the bill attached.** Revenue \$90.0bn, +18% y/y (+17% cc) against ~\$87.6bn expected. Non-GAAP EPS \$4.74 vs \$4.24. Net income \$35.8bn, +31%. Azure grew 43% against guidance of 39-40% and consensus near 40%. The stock rose about 9% after hours, roughly \$93bn of market value. The offset: FY27 capex guidance of \$255-260bn, versus ~\$190bn committed for calendar 2026 — a step-up of roughly 35% — with reports flagging a cash-flow squeeze as the mechanical consequence. This is the Alphabet problem restated: the cloud number is spectacular and the free cash flow line is where it gets paid for.
- **Meta Q2: revenue beat, profit missed by roughly a dollar.** Revenue \$60.801bn (+28%) against ~\$60.2bn expected. Net income \$15.848bn, DOWN 14% y/y. EPS \$6.18 (-13%) against consensus of \$7.13-7.19 — a miss of more than 13%. Q3 revenue guided \$61-64bn with a ~1% FX drag. FY26 total expenses raised to \$165-169bn, including \$2.4bn of legal costs booked in Q2. FY26 capex range narrowed to \$130-145bn from \$125-145bn — the top is unchanged but the FLOOR went up, which is management telling you the spend is not negotiable. Shares fell after hours.
- **Qualcomm: in line, then guided light — and blamed memory.** FQ3 came in on consensus, but the current-quarter guide of \$2.05-2.25 EPS on \$9.7-10.5bn revenue disappointed, with management pointing at the component supply crunch, **especially memory**. The stock had already closed -4.42% at \$155.68. This is the first major non-memory company to put the DRAM shortage into its own guidance — the SK Hynix story is now a cost line for everyone else.
- **The consumer, by contrast, was fine.** Starbucks raised FY26 adjusted EPS guidance to \$2.55-2.65 from \$2.25-2.45 on a fourth consecutive quarter of same-store sales growth, beating on both lines. Chipotle grew revenue +9.3% to \$3.35bn with adjusted EPS \$0.33 vs \$0.32, and the stock rose 2.2% in the session. Ford closed +2.1% after beating and raising 2026 guidance — automotive revenue \$44.89bn, adjusted EPS \$0.42 vs \$0.36,

adjusted EBIT \$2.5bn at a 5.2% margin, up 0.9pts y/y. Jim Farley: "the more important story is the growing evidence that Ford is becoming a more profitable, more disciplined and genuinely different company."

- **Wednesday's wreckage, in order of severity:** Parsons **-35.0%**, Teladoc **-24.1%**, Lemonade **-23.7%**, Lennox **-21.0%**, FTAI Aviation **-19.4%** (on a sales BEAT), Bio-Rad **-15.7%**, CoStar **-14.7%** (beat, then cut the full-year revenue outlook), Vertiv **-12.6%** (revenue miss), SanDisk **-11.0%**, Nebius **-8.6%**, Arm **-8.1%**. Robinhood closed **-3.15%** with crypto revenue beating estimates despite a 38% decline. **SpaceX (SPCX) traded ~\$112.84 (-3.1%) intraday, roughly 50% below its 16 June high of \$225.64**, with earnings due 4 August and Navellier flagging that profitability is not expected until late 2027 or 2028.

10 Macro data

- **The Fed, in full.** Target range held at **3.50–3.75%**, vote **9–3**, with **Hammack, Kashkari and Logan** each dissenting in favour of a 25bp hike. No dot plot, no forward guidance. Warsh on the split: "I asked for a good family fight, and I got one." On the mandate: "There is no soft inflation target, there is no soft implicit target — not on this Committee's watch. There is only a target, and it is 2 percent." On patience: "the five-plus years of inflation above target cannot be cured in nine weeks — or by a single month of modest price decreases." **Three dissenters pointing the same way is the first such alignment since September 2016.**
- **Housing quietly got worse.** The MBA 30-year mortgage rate rose to **6.76% from 6.69%**, and the Mortgage Market Index fell to **247.2 from 264** — a 6.4% drop in application volume in a week. With the 30Y Treasury at 5.21%, the mortgage complex has no relief coming from the front end regardless of what the Fed does with the funds rate. This is the most direct transmission channel from Wednesday's steepening into the real economy and it moved on the same day.
- **Today's Core PCE is the number, and it is already obsolete.** June core PCE prints at 20:30 GMT+8 alongside the Q2 GDP advance and weekly claims. It measures a month that ended before July's oil move — WTI went from the mid-\$60s to a \$92 high, collapsed to \$79, and is back at \$84.46. Hedgeye's inflation nowcast has already been nudged higher on the commodity breakout, and Keith's explicit point is that **the August number is where the oil spike shows up**, which is why the process shifted to monthly Quad 3 for August. A soft June print today would be the most misleading data point of the quarter.
- **Why the dissents matter more than the print.** Warsh has abolished forward guidance, so the Committee's only communication channel is its own voting record. Three hawkish dissents into a hold, published alongside a statement reaffirming a hard 2% target, tells you the reaction function has a tighter tail than the futures curve implies — which is exactly what a 12bp move at the 30Y point and a 4bp rally at the 2Y point is pricing. Keith's framing on the Macro Show: the Fed front-runner suggests **Warsh turns hawkish over the next two to three months**, and the Bank of Korea already showed what raising into a crash looks like.

11 Geopolitics

- ▼ **A Gulf state entered the war.** US and **Saudi Arabian** forces jointly struck Iranian-backed Popular Mobilisation Forces targets inside **Iraq**, killing at least **20** and wounding 32. Saudi Arabia's Ministry of Defence confirmed its participation, citing self-defence. This is **the first attack on Iran or its regional allies acknowledged by a Persian Gulf state** since the war began five months ago. Whatever this conflict was structurally on Tuesday, it is not that any more — the Gulf has stopped hedging.
- ▼ **The attack that started it.** Iran's IRGC fired ballistic missiles at the **Muwaffaq Salti Air Base and a CENTCOM facility in Jordan**; Jordanian air defences intercepted five. Trump responded by threatening to hit Iran "hard" and saying Iran would "get a beating." Iran's President Pezeshkian urged Iranians to "stand firm."
- ▼ **And the diplomatic off-ramp closed.** Iran **rejected Oman's proposal** for a joint regional mechanism to manage the Strait of Hormuz — the voluntary-transit-fee architecture that reportedly had Gulf support and was, 24 hours ago, the single most constructive development in this conflict. Iran also **struck three ships in the Strait**. The proposal that gave Tehran something to say yes to is dead, and the blockade continues.
- **What it means for the oil price.** Brent +7.9% to \$90.74 and WTI +6.6% to \$84.46 are not a risk premium on a headline — they are a repricing of the distribution. A widening coalition, a rejected mechanism, and attacks on shipping inside the strait all push in the same direction. Hedgeye's response was to upgrade WTI to a **Bullish** 76.97–92.98 and buy energy equities. The honest indicator remains **Hormuz transit counts**, which have been running a fraction of the ~100/day pre-war rate; until that normalises, every move is about expectations, not barrels.

12 Asia setup — today (Thu 30 Jul, pre-open)

Index	Wed 29 Jul close	Read
US futures	▲ modestly higher (NQ +0.5%)	But cash closed at the lows: Dow -2.19%, S&P -1.52%. MSFT +9% AH is carrying the entire bid
Kospi (Korea)	▼ 5,663.24 (-5.98%)	Was -8.2% at 5,531.56 mid-session before a late bid. Lowest since early April; SK Hynix and Samsung both double-digit down intraday
Nikkei 225	▼ 61,434.19 (-1.49%)	Held up far better than Tuesday. Tokyo Electron -10.1%, Lasertec -8.2%. Kyushu earthquake a second-order drag. BoJ tomorrow
Taiwan (TWII)	▼ 40,039.18 (-3.76%)	Third heavy session; lost the 40,000 handle intraday. The equipment/foundry complex is still the epicentre
Hang Seng	▲ 25,807.92 (+1.96%)	GREEN AGAIN, and the region's best. Two-day divergence from Korea/Taiwan is now a trend, not a fluke
Shanghai	▲ 3,828.47 (+0.40%)	Steady. Domestic self-sufficiency remains a China positive; Politburo readout still awaited

Index	Wed 29 Jul close	Read
S&P/ASX 200	▲ 9,038.60 (+1.01%)	No semis, \$90 Brent and a resources bid. The region's cleanest defensive, again
Straits Times	▲ 5,713.19 (+1.73%)	Closed at a 52-week HIGH. Completely insulated from the memory shock
Sensex	▲ 77,654.60 (+1.16%)	India remains the region's non-correlated leg — best two-day run in weeks

Read: Asia split along the same axis for a second day — who owns memory — and the non-memory side is now doing more than merely holding up: Hong Kong +1.96%, Singapore at a 52-week high, Australia +1.01%, India +1.16%. Today that axis meets a different shock. Asia did NOT trade the Fed, the 19-year high in the 30Y, the Dow's worst day since April 2025, the Saudi entry into the war, or Microsoft's +9% — all of it lands at once at the open. The two questions: does a +9% Microsoft rescue the AI complex in Tokyo and Taipei, or does a 5.21% US 30Y and \$90 Brent overwhelm it; and can Korea hold 5,663 after a -6% day that was -8% intraday. Brief lands ~08:00 GMT+8, pre-open; futures are indications, not cash.

13 AI watch

- **Microsoft answered the demand question and sharpened the funding one.** Azure +43% against a 39–40% guide is not a decelerating cloud business; it is an accelerating one. That kills the "AI demand is rolling over" thesis outright. What it does not kill — what it arguably confirms — is the balance-sheet thesis: you cannot grow a cloud at 43% without **\$255–260bn of FY27 capex**, and that number lands in a market that punished Alphabet for a negative free-cash-flow quarter eight days ago. The +9% after-hours move says the market chose demand over funding on the night. Whether it still does at the cash open is today's actual question.
- **Meta showed what the bill looks like when growth is merely good.** +28% revenue growth is a strong number; it produced a **14% decline in net income** and a 13% EPS miss, with FY26 expenses guided to \$165–169bn and the capex floor raised. Microsoft can spend \$260bn because Azure compounds at 43%. Meta is spending \$130–145bn against a business growing at 28% with \$2.4bn of legal costs on top. The two prints together define the dividing line the rest of this cycle will be traded on: **capex is only a story about the future if the revenue line is accelerating.**
- **The supply chain is now everyone's cost problem.** Qualcomm guided the current quarter light and named the memory shortage as the cause. SanDisk -11.0%, Micron -9.9%, Lam -6.4%, KLA -6.4%, Ichor -9.5%, Silicon Motion -9.8%. And a separate escalation: **US senators warned Apple not to buy memory chips from Chinese firms** — which, one day after China's domestic DUV and CXMT news, converts a cost question into a policy question. If the cheap supply is politically unavailable, the DRAM squeeze does not resolve, it institutionalises.
- **What would break the bear case now:** Apple and Amazon tonight delivering AWS margin stability and iPhone demand without a capex step-change of their own. Microsoft has already proved demand. What nobody has yet proved is that any of these companies can grow AI revenue **without** raising the spend line — and until one does, every good print is also a bad print, which is exactly the pattern of the last three weeks.

14 Beyond the markets

- **A 19-year high in the 30-year is a generational marker, not a data point.** The last time US 30-year yields were here, the housing bubble had not yet burst and the Fed funds rate was 5.25%. Every long-duration liability in the system — pensions, insurers, project finance, infrastructure — re-prices off this. It also arrived on the same morning the 30-year mortgage rate went to 6.76% and application volume fell 6.4% in a week. The transmission is not theoretical and it is not slow.
- **Three dissents is an institutional signal about the Fed, not just about rates.** Warsh removed forward guidance and the dot plot in order to restore optionality; the cost is that the Committee can now only communicate through its voting record, and its voting record just fractured. "I asked for a good family fight, and I got one" is a Chair describing a feature. Markets will read a 9–3 split as a leading indicator of where the median goes next, which means every future meeting is a higher-variance event by construction.
- **Saudi Arabia's decision is the week's most consequential and least priced development.** A Gulf state publicly striking Iranian-aligned forces changes the calculus for every regional actor that has spent five months staying ambiguous, and it does so at the exact moment Tehran rejected the one proposal on the table. Oil at \$90 Brent reflects some of this. The structural question — whether Hormuz reopens on any timeframe an energy planner can model — is not reflected in any price at all.
- **The month ends tomorrow, and the scoreboard is unusually honest.** July: GS High Beta Momentum -30.9%, TMT Memory -30.5%, AI Data Centers -19.4% — against GARP Software +8.4%, US Healthcare +5.3%, REITs +4.5%. Keith's own summary was blunt: "July ends this week. The score is what it is." What makes the number matter beyond bragging rights is the mechanical one: a -30% factor move going into a month-end rebalance produces flows that have nothing to do with anybody's view.

15 Appendix — stock cards

Names in focus plus top global names — last + day • market cap • next key date • one-line read. Prices are Wed 29 Jul cash closes unless flagged * (prior/approx/delayed/intraday). No charts.

US — the two that reported tonight

Microsoft (MSFT) \$390.54 ▼ -0.71% Cap \$2.90T Next: REPORTED TONIGHT Rev \$90.0bn +18%, EPS \$4.74 vs \$4.24, Azure +43%. +9% after hours. FY27 capex \$255–260bn is the catch.	Meta (META) \$585.61 ▼ -1.31% Cap \$1.49T Next: REPORTED TONIGHT Rev \$60.8bn beat, EPS \$6.18 vs \$7.13–7.19 MISS, net income -14%. Capex floor raised. Fell after hours.
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US — mega-caps & movers

Apple (AAPL)**\$338.19 ▼ -0.56%**

Cap \$4.97T Next: Reports tonight/Fri

Below \$5trn again. Lone Bag7 Bullish TREND and the only mega-cap up on the week (+3.8%).

Nvidia (NVDA)**\$190.01 ▼ -3.55%**

Cap \$4.60T Next: Reports late Aug

Worst Mag7 day, -10.4% on the week. Bearish TREND. No catalyst of its own for a month.

Alphabet (GOOGL)**\$336.71 ▲ +0.90%**

Cap \$4.12T Next: Reported 22 Jul

The only Mag7 gainer, two days running. Still absorbing money leaving semis.

Amazon (AMZN)**\$226.65 ▼ -1.82%**

Cap \$2.44T Next: Reports tonight/Fri

AWS margin is the line, and MSFT just reset the bar at Azure +43%. Bearish TREND.

Tesla (TSLA)**\$298.32 ▼ -2.97%**

Cap \$1.18T Next: Reported 22 Jul

Broke \$300. -20.2% on the week, -34.4% YTD. Deutsche Bank held Buy, cut the target.

Caterpillar (CAT)**n/a* ▼ -6.91%**

Cap large-cap Next: Reported 28 Jul

The single cleanest expression of Wednesday: the industrial cycle repricing off a 5.21% long bond.

Qualcomm (QCOM)**\$155.68 ▼ -4.42%**

Cap large-cap Next: REPORTED TONIGHT

In line, guided light on \$2.05-2.25 EPS. Named the memory crunch. First non-memory name to eat the shortage.

Micron (MU)**n/a* ▼ -9.94%**

Cap ~\$835B* Next: Reports late Sep

Still the US pure-play on the China DRAM shock. Senators warning Apple off Chinese memory cuts both ways.

SanDisk (SNDK)**\$1,278.23 ▼ -11.02%**

Cap large-cap Next: Reported 28 Jul

Keith named it explicitly on the Macro Show: don't bag-hold this into a Fed that may talk about hiking.

Intel (INTC)**\$81.88 ▼ -5.12%**

Cap ~\$355B* Next: Reported 24 Jul

Most-active name on the tape again. Foundry ambitions still cut against a cheaper Chinese toolchain.

Starbucks (SBUX)**n/a* ► beat + raised**

Cap large-cap Next: REPORTED TONIGHT

RAISED FY26 EPS to \$2.55-2.65 from \$2.25-2.45. Fourth straight quarter of comp growth. The consumer is fine.

Ford (F)**\$15.28 ▲ +2.14%**

Cap mid-cap Next: Reported 29 Jul

Beat and raised: auto rev \$44.89bn, adj EPS \$0.42 vs \$0.36, EBIT margin 5.2% (+0.9pts).

Asia — the epicentre**SK Hynix (000660)****-12.6%* ▼ intraday**

Cap mega-cap Next: Reported 29 Jul

Record KRW60.5trn OP that missed. Now down two straight sessions on the print, not the rumour.

Samsung Elec (005930)**-8%* ▼ intraday**

Cap mega-cap Next: Reports late Jul

Half the Korean index's problem for a second day. DRAM share is the number under attack.

Tokyo Electron (8035)**-10.1% ▼ -10.1%**

Cap large-cap Next: Reports Aug

Second double-digit session in two days. Equipment is taking the DUV report hardest.

Lasertec (6920)**-8.2% ▼ -8.2%**

Cap large-cap Next: Reports Aug

Inspection systems — the purest read-through to a domestic Chinese toolchain.

TSMC (2330 / TSM)**w/ TWII* ▼ -3.76% idx**

Cap ~\$1.8T* Next: Reported 16 Jul

Taiwan lost 40,000 intraday. Foundry has no earnings catalyst until October.

ASE Tech (ASX)**n/a* ► —**

Cap large-cap Next: Reports TODAY

Packaging bellwether reporting into a broken tape — Amkor's -24.7% on Tuesday is the comparison to fear.

Energy, credit & the rest**Energy (XLE)****sector +1.75% ▲ +1.75%**

Cap — Next: XOM/CVX Fri

Keith BOUGHT XLE and CRAK on Wednesday, reversing Tuesday. Best sector on the day. WTI upgraded to Bullish.

Cenovus (CVE)**n/a* ▲ +5.10%**

Cap mid-cap Next: Reported 29 Jul

Q2 call landed into a +7.9% Brent day. The leveraged expression of the Hormuz risk premium.

ASML**n/a* ► —**

Cap ~\$600B* Next: Reported ~21 Jul

China ~20% of 2026 revenue. Domestic DUV mass production remains THE monopoly question.

Broadcom (AVGO)**\$370.32 ▼ -2.78%**

Cap \$1.76T Next: Reports early Sep

-6.7% on the week. Custom silicon is a different exposure, but not an immune one.

Arm (ARM)**n/a* ▼ -8.11%**

Cap large-cap Next: REPORTED TONIGHT

Beat expectations and closed -8.1% anyway; little changed after hours. The template of the season.

SpaceX (SPCX)**~\$112.84* ▼ -3.1%***

Cap ~\$1.5T* Next: Reports 4 Aug

~50% below the 16 June high of \$225.64. Not expected profitable until late 2027/2028.

Sources

Index closes, Mag7, sectors, futures, commodities, Treasuries, FX and crypto: Yahoo Finance market data captured 07:00-07:05 GMT+8 Thu 30 Jul via logged-in browser (US cash closes are official 16:00 EDT Wed prints). Session narrative and after-hours moves: Yahoo Finance "Stock market today" live blog (29 Jul), TheStreet "Stock Market Today" live blog (29 Jul), Investor's Business Daily,

AFP. Fed decision, vote split, dissenters and Warsh quotes: CNBC "Fed meeting recap: Warsh says Fed won't hesitate to stop inflation, but bond market has doubts" (29 Jul), Yahoo Finance Fed live blog, Bloomberg, US News, CNN Business, Axios, Federal Reserve press-conference transcript (preliminary). Post-close cash yield levels (30Y 5.21%, 10Y 4.657%, 2Y 4.236%): CNBC Fed recap. Microsoft and Meta results: Il Sole 24 Ore (29 Jul), Investing.com, CNBC, Associated Press, ts2.tech. Qualcomm, Arm, Starbucks, Chipotle: CNBC earnings reports, Yahoo Finance earnings live blog, StockStory, Alphastreet. Risk ranges, TREND signals, Quads, MOMO and Crypto Quant: Hedgeye Early Look "Quad Candy vs. Crowded Carnage" (Keith McCullough, 29 Jul 07:55 EDT), Hedgeye MOMO Tracker, Hedgeye Crypto Quant, Hedgeye "CHART OF THE DAY: July's Biggest Casualties Were 2026's Former Leaders" (29 Jul 07:53 EDT), Hedgeye "McCullough: Watch The Fed Front-Runner" (29 Jul 12:02 EDT), Hedgeye "KM's Coaching Lesson of The Week" (29 Jul 13:15 EDT) — logged-in FULL edition. Asia closes: Yahoo Finance world indices; AP via KSAT for intraday Korea/Japan detail. Geopolitics: Al Jazeera, CBS News live updates, Washington Post, NBC News, TheStreet, The Independent via TheStreet.

Data-confidence

CROSS-CHECKS PASSED: every Wednesday close in this brief reconciles arithmetically against the 29 Jul edition's closes — S&P 7,428.78→7,316.15 (−1.52%), Dow 52,747.32→51,594.14 (−2.19%), Nasdaq 24,876.91→24,442.94 (−1.74%), Russell 2,953.80→2,906.31 (−1.61%), VIX 18.21→20.66 (+13.45%). Asia ties exactly: Kospi 6,023.66→5,663.24 (−5.98%), Nikkei 62,364.92→61,434.19 (−1.49%), Taiwan 41,603.36→40,039.18 (−3.76%), Hang Seng 25,310.85→25,807.92 (+1.96%), Shanghai 3,813.31→3,828.47 (+0.40%), ASX 8,947.80→9,038.60 (+1.01%), Straits 5,616.11→5,713.19 (+1.73%), Sensex 76,765.92→77,654.60 (+1.16%). Every Mag7 name reconciles to the tick: AAPL 340.08→338.19, MSFT 393.35→390.54, NVDA 197.01→190.01, GOOGL 333.71→336.71, AMZN 230.86→226.65, META 593.41→585.61, TSLA 307.44→298.32, AVGO 380.91→370.32. Commodity settles are derived from live overnight quotes less the stated change and tie to Tuesday's settles: WTI 79.26→84.46 (+6.6%), Brent 84.09→90.74 (+7.9%), gold 4,038.70→4,097.00 (+1.44%), silver 57.53→58.09, copper 6.36→6.31, nat gas 2.701→2.722.

KNOWN CONFLICTS — READ THIS: the yield levels differ by source and it matters. Yahoo's CBOE indices, which settle at 15:00 EDT (30 minutes before the close and one hour after the Fed), print 10Y 4.622% (+1.8bp) and 30Y 5.14% (+5bp). CNBC's post-close cash levels — used in this brief — are 30Y **5.21% (+12bp)**, 10Y **4.657% (+5bp)**, 2Y **4.236% (−4bp)**. Both are internally consistent with the 29 Jul edition's base; the difference is purely that yields kept rising after 15:00 EDT. The larger figures are the more complete measure of the session and the "19-year high" claim rests on them. The 5Y (4.352%, −0.9bp) and 13-week bill (3.658%, −10.2bp) are Yahoo 15:00 EDT prints and have no CNBC cross-check. Separately, **Hedgeye's July momentum-basket number is quoted two ways:** −37% in Tuesday's Market Insights piece and −30.9% in Wednesday's Early Look. Both are reproduced above with attribution; the discrepancy is basket definition and measurement date, not an error in either.

KNOWN GAPS: sector percentages are Yahoo's own sector classification, not GICS S&P sector indices, so they will not tie exactly to CNBC's sector prints. Market caps other than those quoted directly are derived and approximate; any figure marked * is an approximation, a prior close, an intraday level or delayed. Korea/Japan single-stock moves (SK Hynix −12.6%, Samsung −8%) are AP midday Seoul figures, NOT closing prints — the Kospi itself recovered from −8.2% intraday to −5.98% at the close, so those single-name numbers almost certainly overstate the final damage. Tokyo Electron −10.1% and Lasertec −8.2% are press-reported, not exchange-confirmed here. Caterpillar, Micron, Starbucks, Arm and ASML closing prices were not captured in a consistent snapshot and are shown as percentage moves only. USD/KRW was not captured this morning — worth checking independently, since a won that starts falling WITH the Kospi turns Korea from a sector problem into a macro one.

TIMING & UNVERIFIED: today's US calendar (Core PCE, Q2 GDP advance, jobless claims at 20:30 GMT+8) is carried forward from the prior edition's schedule; Yahoo's economic calendar returned only the European morning at the time of writing and did not confirm the US release times. **Apple and Amazon earnings timing is genuinely ambiguous** — the prior edition placed both after the US close on Thursday 30 Jul (−04:05−04:30 GMT+8 Friday), while Yahoo's earnings widget lists them under 31 Jul. Verify before positioning around it. After-hours moves for Microsoft (+9%, ~\$93bn) and Meta (−4% initial) were still moving at the time of writing and are indicative only. Microsoft's FY27 capex guidance of \$255−260bn is reported consistently across sources but derives from the earnings call rather than the release. **TIMING:** brief generated −08:00 GMT+8 Thursday, pre-Asia-open, off a data snapshot taken 07:00−07:05. Futures and overnight commodity levels move fast on Middle East headlines and on Big Tech after-hours — verify live before acting. This is the FULL Hedgeye edition (logged-in browser reachable).